Ashok Leyland

ASHOKLEY

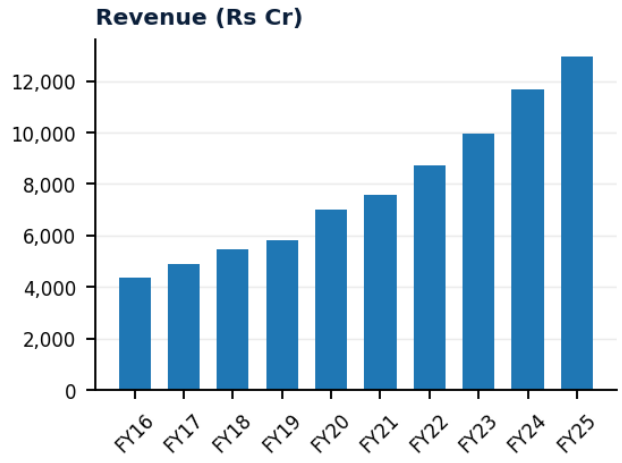
Sector: Automobiles

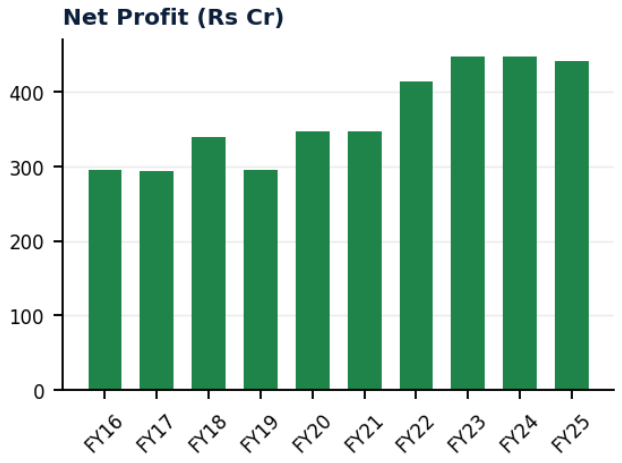
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
12,961	441	12.5%

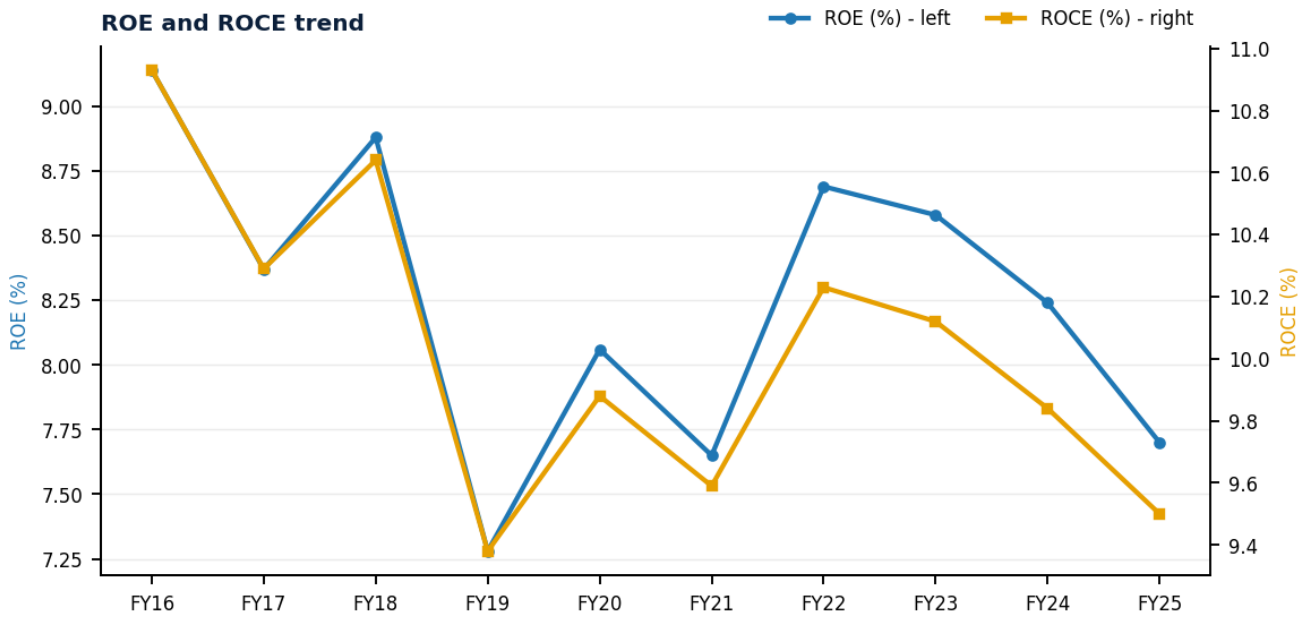
ROE (%)	ROCE (%)	Debt / Equity (x)
7.7%	9.5%	1.55x

10-year Revenue and Net Profit

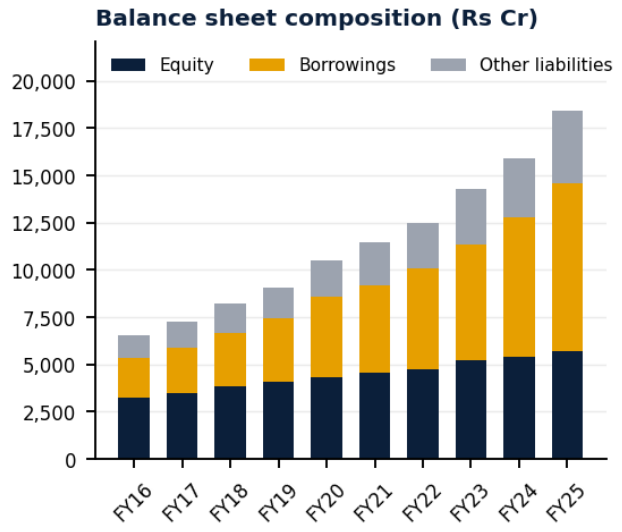


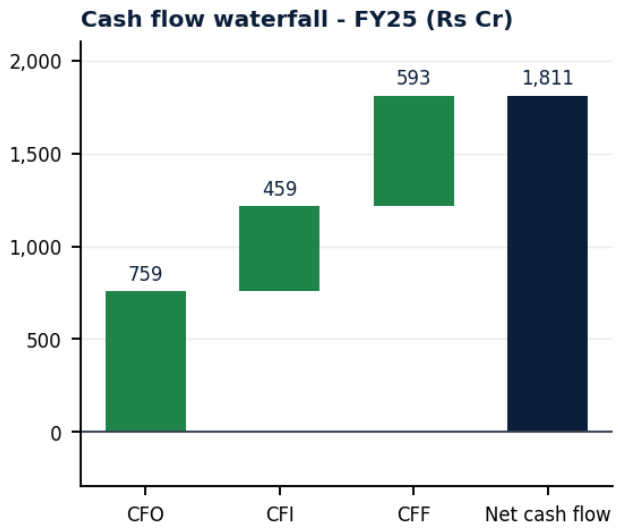


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Consistent dividend yield above 2% backed by positive free cash flow (69%)

Cons - what to watch

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (84%)
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (83%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (72%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (64%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (62%)

Capital allocation pattern (FY2025)

Cash Accumulator

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.78)	**Moderate (3.5%)**	**No**	**No**